

KEY INDICATORS STEADY

17.7%

Growth in bank credit for fortnight ended June 15, 2026

5.1%

Growth in index of industrial production in May 2026

₹1.95
LAKH CRORE

GST collections in June 2026

54.2

HSBC India Manufacturing PMI in June

CAUTION AHEAD?

- ▶ Domestic demand is the key contributor to India's economic growth
- ▶ Beyond war, monsoon deficit seen to cloud outlook for agri income, rural households
- ▶ For urban consumers, GST and income tax cuts impact absorbed
- ▶ FY27Q2 earnings data by companies may shed more light on spending patterns



Food and beverage players remain relatively better placed, supported by stable cereal prices, lower coffee and cocoa costs, and softer copra, although elevated soymeal, edible oils, and dairy inputs remain key monitorable, the report said. Home and personal care players continue to face input cost pressures.

With crude oil prices softening in between, prices of a key input—plastic packaging—had also started easing.

“During the onset of the war, crude oil prices surged significantly, leading to a sharp increase not only in packaging raw material costs but also in several other input costs across the value chain. This resulted in an overall cost escalation for FMCG companies. However, with the situation stabilising and crude prices softening in recent weeks, input costs are beginning to ease,” explains Thimmaiah Napanda P, CEO & MD, Alternicq, a rigid plastic packaging company.

The government has now reduced prices of commercial LPG and aviation turbine fuel, but when the effect would pass on to retail consumers of diesel, petrol as well as domestic LPG cylinders is uncertain.

Most analysts expect inflation to average around 5%-5.2% this fiscal year, in line with the Reserve Bank of India's projection of 5.1% but expect some favourable impact from the cooling energy prices. However, they warn that the impact of the rains on food prices will have to be monitored.

Upasna Bhardwaj, Chief Economist, Kotak Mahindra Bank, says that they estimate average inflation at 5%, with some easing

of concerns from falling crude oil prices and steady Indian rupee.

STEADY DEMAND FOR NOW

Till now, consumer demand has remained not only steady, but robust. Companies and policy-makers have highlighted that consumers seem to have brushed aside the impact of the war. Demand indicators like collections from GST, bank credit, and factory output have shown resilience and have pointed towards steady private demand.

India's economic growth relies heavily on its domestic market, with private consumption serving as a key driver. Private final consumption expenditure grew by 7.7% in FY26 and was one of the main drivers of growth last fiscal year, buoyed by GST and income tax cuts when the 50% tariffs by the US on Indian exports was seen to be a major risk.

“Overall, high-frequency indicators depict broad resilience in economic activity during the first quarter of FY27,” said the finance ministry in its monthly economic review for June 2026, noting that while some indicators suggest a moderation in momentum, domestic demand conditions remain supportive. It is however hopeful that the recent de-escalation of geopolitical tensions in West Asia will improve global risk sentiment, ease commodity price pressures, and support domestic economic activity.

Analysts also believe that India Inc continued to do well in the first quarter of FY27 on the back of robust consumer demand.

Naveen Trivedi, Executive Director, Institutional Research—